ISCANN GROUP · NEXT LEVEL THREAT · SIGNAL & FRACTURE · SCENARIO PLANNING

Taiwan Strait Blockade

Five scenarios. Every pathway developed. Every consequence mapped. Every decision identified.

Q2 2026 · CLASSIFIED · AUTHORISED RECIPIENTS ONLY

Risk Assessment at a Glance

Risk Classification

CRITICAL — Highest Designation

Probability of Crisis

62 – 68% within 24 months

Global Economic Exposure

~$10 Trillion first-year shock

Primary Scenario

Sustained grey-zone pressure

Assessment Window

Q1 2026 — Q1 2028

Scenario Probability Overview

Scenario	Probability
S1 Grey-Zone Pressure	42%
S2 Energy Quarantine	25%
S3 Military Action	18%
S4 Miscalculation	9%
S5 De-escalation	6%

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Executive Brief

Why a Taiwan Strait Blockade is the Highest-Priority Live Risk

Military, market, and alliance shocks converge on the same geography — and in some cases the same 72-hour window.

TECHNOLOGY

92% of advanced chips are made in Taiwan. No short-term substitute exists anywhere on earth.

TRADE

20% of global maritime trade transits the Strait each year — $2.45 trillion annually.

ALLIANCE

A Chinese success would shatter US extended deterrence across the entire Indo-Pacific.

TIME

Legal ambiguity compresses coalition response windows. Hesitation is the weapon — not just hardware.

Critical insight: The most plausible danger is not a clean invasion. It is pressure that stays below the threshold that would automatically unify allied action — grey-zone activity, selective legal coercion, cyber and cable disruption. Ambiguity is not a by-product of this strategy. It is the weapon system.

Consequence Chain

1. Maritime coercion
2. Energy crisis (11 days)
3. Chip production halts
4. Markets reprice globally
5. Alliance credibility test
6. Structural order change

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Five Scenarios

Likelihood, Severity, Velocity

These are not predictions. They are structured pathways showing how each future could unfold.

Scenario	What Happens & Iscann Judgment	Likelihood	Severity	Velocity	Score
S1 Sustained Grey-Zone	China intensifies military, maritime, cyber and political pressure without crossing into open war. Most likely baseline — treat as the current operating environment, not a future state.	4/5	4/5	3/5	4/5
S2 Selective Quarantine	China uses coast guard authority to restrict energy shipments to Taiwan. A fast crisis under maximum legal ambiguity. Most dangerous near-term step-change — weaponises hesitation and compresses allied decision time.	4/5	5/5	4/5	4/5
S3 Full Blockade / Kinetic	China imposes a full military blockade or uses direct force. Semiconductor, shipping, market and alliance shocks arrive at once. Highest-damage contingency — prepare for this even if it is not the base case.	3/5	5/5	5/5	3/5
S4 Miscalculation	A collision, weapons lock, or limited exchange escalates faster than leaders can contain. Lower probability, maximum velocity — use this to stress-test crisis communications.	2/5	4/5	5/5	2/5
S5 De-escalation	Diplomatic engagement creates temporary rules of the road. Structural rivalry remains. Best case, not durable — use any calm period to build resilience, not to relax preparation.	1/5	2/5	2/5	1/5

TRIGGER PRINCIPLE: A stronger warning comes when military, logistical, financial, and political indicators begin to move together — not when any single signal is elevated.

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Scenario 1 · 42% Probability

Sustained Grey-Zone Pressure

Most likely scenario. Already underway. The fracture is not approaching — it is the present operating environment.

China tightens pressure gradually through legal and military grey zones — Taiwan weakens without a single shot being fired.

01

PRECONDITIONS

China escalates military flights, maritime militia, coast guard patrols, cable interference, and political pressure — each individually manageable, collectively decisive.

02

NO SINGLE TRIGGER

No dramatic event is needed. The campaign works through accumulation, not explosion.

03

IMMEDIATE EFFECTS

Taiwan faces constant strain on decision-makers, military readiness, civil resilience, and domestic political cohesion.

04

SECOND-ORDER

Insurance costs rise. Investor confidence falls. Semiconductor customers make contingency moves. Western governments argue over the threshold for action.

05

ACTOR RESPONSES

China normalises the activity. Taiwan adapts but absorbs growing cost. The US and partners signal support but cannot impose a decisive countermeasure.

06

END STATE

A weaker Taiwan and a more permissive environment for the next coercive move.

IScann Group advises: Treat this as the current operating environment — not a future scenario. Build resilience, map dependencies, monitor cumulative signals. Do not wait for a cinematic trigger before acting. The trap is that each individual move looks manageable. Together they are not.

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Scenario 2 · 25% Probability

Selective Energy Quarantine

Most dangerous near-term step-change. Weaponises hesitation. The crisis the US is least prepared to decide.

China blocks gas tankers under "law enforcement" framing — Taiwan's lights start failing in 11 days while the US debates whether it is legally a blockade.

The 14-Day Countdown

Timeline	Event
Hour 0	**China acts**. Coast Guard stops an LNG tanker. Framing: "inspection authority." No missiles — pure legal coercion.
Day 1–2	**Allies debate**. Washington and Tokyo debate whether this is a blockade. Every hour of debate is a Chinese strategic win.
Day 3–5	**Gas depletes**. Taiwan's 11-day LNG reserve begins falling. Factories rationalise. TSMC board in emergency session.
Day 7	**Grid strain**. Rolling power restrictions begin. TSMC announces first production slowdown. Markets reprice sharply.
Day 10	**Decision point**. Gas 85% depleted. The US must decide: challenge the quarantine, or watch Taiwan collapse.
Day 14	**Gas out**. LNG reserves exhausted. Advanced chip production halts. Every day's hesitation since Day 1 was decisive.

The Legal Trap

The ships stopping Taiwan's gas are Coast Guard vessels claiming domestic law enforcement authority — not a military blockade. Firing on them makes the US appear to fire first. Standing back lets Taiwan collapse. China designed this choice deliberately. Ambiguity is not incidental — it is the entire architecture of the coercive act.

Four Decisions — Must Be Made Before, Not During

Deadline	Decision
By Day 2	**Escort LNG tankers into Taiwan?** Yes = potential war. No = Taiwan collapses.
By Day 5	**Call it a blockade publicly?** Legal declaration commits the US — but also activates allies.
By Day 7	**Activate chip emergency reserves?** Requires reserves the US has not yet built.
By Day 10	**TSMC scorched-earth protocol?** Destroy fabs to deny China the prize — or not.

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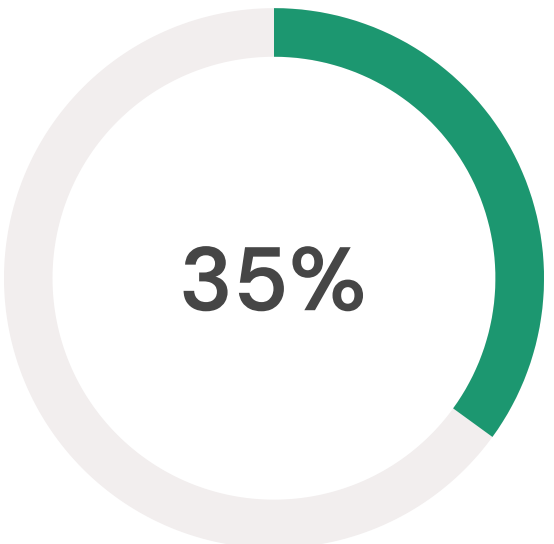
Scenario 3 · 18% Probability

Full Blockade or Kinetic Attack

Not the most likely. The most important to plan for. 18% over 24 months is not negligible.

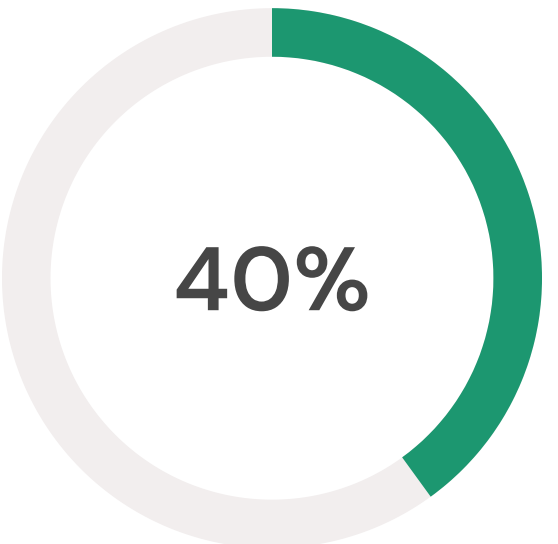
The PLA surrounds Taiwan militarily — semiconductor, shipping, financial, and alliance shocks arrive simultaneously, not one at a time.

Three Realistic Triggers



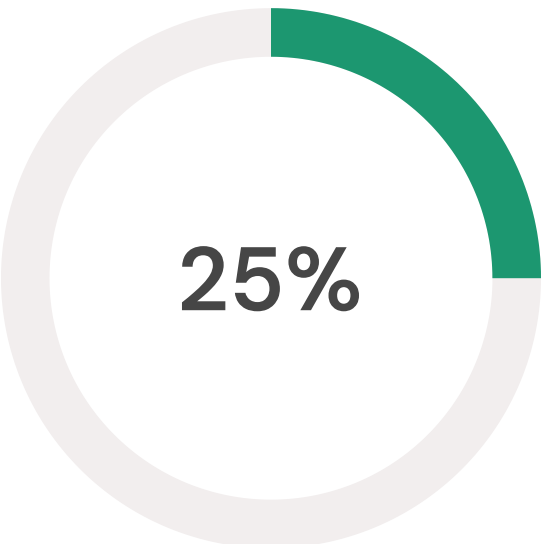
Political Red Line

Taiwan's government makes a statement Beijing classifies as crossing its independence boundary. Could be as formal as a constitutional change, or as informal as a president's phrasing in a foreign interview.



Military Incident

A US warship and a PLA or Coast Guard vessel collide, exchange fire, or lock weapons. Current Strait operational tempo makes near-misses frequent. One incident with casualties can spiral before any diplomat can respond.



Deliberate Window

Xi Jinping concludes that US domestic distraction, Taiwan's political division, and PLA readiness create an optimal moment. He does not wait for a trigger — he creates one. This is the scenario most analysts underweight.

Six Simultaneous Shocks

Shock	Onset	Impact
CHIPS	Days	TSMC offline. 92% of advanced chip production stops. No substitute in any relevant timeframe.
MARKETS	Hours	Tech indices fall 30–50%. Insurance markets freeze. Credit and currency markets destabilise.
SHIPPING	Days	Strait closed. 20% of world trade reroutes. Freight costs triple. Delivery windows extend by weeks.
ALLIANCES	Hours	US must decide within hours whether to fight. Japan immediately under threat. Every US ally watching.
ENERGY	Days	Oil spikes. Gas supply disrupted. Inflation and supply shock arrive simultaneously.
NUCLEAR	Ongoing	US-China military conflict creates highest nuclear escalation risk since Cuba 1962.

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Scenarios 4 & 5

Miscalculation & Managed De-escalation

S4: Lower probability, maximum velocity.

S5: Best case, but not yet the IScann Group baseline.

S4 — Miscalculation · 9%

Speed is the danger. An accident becomes a crisis because decision-makers lose time before they lose intent.

- **Preconditions:** Military forces operate close together under high tension and compressed reaction time.
- **Trigger:** A collision, weapons lock, or limited exchange causes casualties or outrage before de-escalation channels activate.
- **Immediate:** Each side hardens its position before the facts are clear. Domestic politics narrow room for compromise.
- **End state:** Either freezes into a new confrontational norm, or spills into blockade-style coercion or direct combat.

IScann Group advises: Use this scenario to stress-test crisis communications, legal authorities, military signalling, and market messaging under extreme time pressure. In a compressed theatre, accidents can acquire the force of strategy.

S5 — De-escalation · 6%

Best-case outcome. Structural rivalry remains. A calm period is preparation time — not permission to relax.

- **Preconditions:** All major actors conclude the current path is too costly or dangerous to sustain.
- **Trigger:** A diplomatic push creates temporary rules of the road, confidence-building, or reciprocal restraint.
- **Immediate:** Exercise tempo falls. Signalling moderates. Market risk premiums ease.
- **End state:** Immediate temperature drops. Strategic rivalry is deferred, not resolved.

IScann Group advises: Use any calm period to clarify trigger thresholds, refine continuity plans, and reduce exposures. De-escalation is intermission — not closure. If calmer waters produce complacency, the apparent success of diplomacy strengthens the vulnerabilities the crisis exposed.

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Indicators & Trigger Points

Eight Signals to Monitor Every Day

ⓘ Military activity alone can mislead. Act on the composite — not individual signals. Two amber lights in 60 days require an escalation brief.

Scenario	Watch For	Source	Status	Why It Matters
S1	Cable-cutting incidents ≥2 per quarter	ISW-AEI; Lloyd's maritime database	ACTIVE	Already at threshold. Acceleration signals imminent escalation.
S1	PLA military flights >270/year around Taiwan	Taiwan MOD daily briefings; ADIZ tracker	ACTIVE	2025 baseline established. Sustained pace = paralysis campaign continuing.
S2/S3	Chinese stockpiling of semiconductor equipment beyond normal cycles	US Commerce export controls; customs data	EMERGING	Pre-action financial preparation. Part of Fracture Imminence Signal.
S2/S3	Chinese sovereign wealth funds withdrawing from US dollar assets	US Treasury TIC data; Bloomberg FX; PBOC	EMERGING	Pre-action financial de-risking. More reliable leading indicator than military movements.
S3	"Peaceful" removed from official PRC reunification language	Xinhua; People's Daily; CCP speeches	WATCH	Language change has historically preceded military action by 6–12 months.
S3	Civilian roll-on roll-off ferry construction exceeds 70 vessels	Commercial satellite imagery; PLA exercises	WATCH	Invasion logistics signal. Additional vessels above 70 = pre-invasion preparation.
S2	LNG tankers report delays or diversions from China Coast Guard	Kpler / Bloomberg shipping; AIS vessel data	WATCH	First confirmed LNG diversion = Scenario 2 trigger. 11-day countdown begins.
S2/S3	TSMC announces any production pause or force majeure	TSMC investor relations; Apple / Nvidia / AMD	WATCH	TSMC going offline for any reason is a global strategic shock event.

⚠ **FRACTURE IMMINENCE SIGNAL:** Indicators 3 (stockpiling) + 4 (capital outflows) + 6 (ferry construction) all activate within any 60-day window — immediate escalation brief required. Act on the pattern.

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Decision Matrix

What Must Happen and When

No-regret actions apply across all five scenarios. Start there. Scenario-specific actions activate when indicators begin to move.

Urgency	Action	Why No-Regret?	Owner	Deadline
NOW	Activate daily Fracture Imminence monitoring	Assign a named person. One LNG tanker delay is Day 1, not context. Costs near zero. Ensures you know when escalation starts.	YES	Client NSC / Iscann 30 days
3 MONTHS	Pre-brief Japan, Australia, S. Korea, Philippines	These allies need to know in advance what the US will do. Coalition unity in the first 48 hours is everything. Surprise coordination fails.	YES	State / INDOPACOM Before next PLA exercise
3 MONTHS	Communicate US red lines to Beijing privately	Tell China specifically what triggers a military response. Clarity deters. Strategic ambiguity now invites testing.	YES	NSC / White House Before Q3 2026
6 MONTHS	Pre-agree TSMC scorched-earth protocol	This cannot be decided in real time under fire. Legal authority and trigger conditions must be pre-agreed: Taiwan, US, and TSMC's board.	S2/S3	Taiwan / NSC / TSMC 6 months
6 MONTHS	Accelerate TSMC Arizona 2nm with emergency funding	Currently offline until 2030. Government funding can advance this. Every earlier month of domestic production is structural risk reduction.	YES	US Commerce / Treasury 6 months
12 MONTHS	Build 90-day critical semiconductor reserve	The US has an oil reserve. It has no chip reserve. Build one before a crisis — not during one.	YES	US Commerce / G7 Before Q1 2027
ONGOING	Monthly Iscann signpost review; 24hr alert on activation	Standing cadence. Immediate brief if two or more indicators move within 30 days.	YES	IScann Desk Monthly

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The IScann Group Assessment

One primary scenario. One probability range. One first decision. No hedging.

Primary Assessment

Scenario 1 — Sustained Grey-Zone Pressure

Range: 38–47%

Confidence: Moderate-High

Most Likely Scenario

S1: Grey-Zone Pressure — 42%

China continues its paralysis campaign. Taiwan weakens politically and economically without any shot fired. This scenario is not a future state. It is the present operating environment.

Principal Alternative

S2: Energy Quarantine — 25%

If grey-zone proves too slow, China escalates. This becomes the primary scenario if Lai survives impeachment AND makes a statement Beijing classifies as approaching its sovereignty red line.

Tail Risk – Plan for This

S3: Military Action — 18%

The scenario most clients resist modelling. 18% over 24 months is not negligible — roughly the probability of a serious car accident in your lifetime. The consequences are civilisational. Prepare.

First Decision

Activate Fracture Imminence monitoring.

Owner: Client Risk Officer / NSC

Deadline: 30 days

Cost: Near zero

This is the no-regret action across all five scenarios. If you take one action from this framework — take this one now.

What Makes IScann Group's Assessment Distinct

Not only an invasion question

Iscann gives serious weight to the coercive space between peace and war — where most of the real danger lives.

Separated probability tiers

Likelihood, consequence severity, and the probability that worst consequences actually occur are treated as distinct variables.

Commercial as strategic

Supply chain dependencies are central strategic variables — not background context or downstream victims.

Event-chain logic

Leaders can see what happens first, next, and after that — not just a snapshot of current risk.

Three Priorities for Leadership

PRIORITY 1 · BASELINE

Sustained grey-zone pressure is already underway. Build resilience now. Do not wait for a cinematic trigger.

PRIORITY 2 · PRIORITY CONTINGENCY

The selective quarantine is the scenario that weaponises hesitation most effectively. Pre-agree the response architecture before it occurs.

PRIORITY 3 · HIGHEST-DAMAGE PLAN

Military action is 18% — not negligible. Preparing costs a fraction of failing to. Define exposures, continuity plans, and authorities now.

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